

## SHIPPING AND MARITIME MANAGEMENT

### What is ship management?

**I:** Jack Roberts, you've worked in ship management for the last 20 years, so I'm sure you won't mind if we describe you as an old-hand at the job!

**I: Can you tell us a bit about yourself to start with?**

**JR:** Well, I initially chose a career at sea because of my interest in sailing and all things nautical. I was determined to learn the art of seamanship first hand and first went to sea in 1974 as a deck cadet. I then spent several years in service, moving up the ranks, on many different types of ships. Going to sea certainly broadened my horizons, gave me the chance to see the seven seas, as it were. I didn't know then that it would provide professional training for a lifelong rewarding career. After a number of years at sea I decided that an entire life on the ocean waves was maybe not what I wanted, and in 1985 made the move back to land, where I swiftly entered the world of ship management. I have seen many changes in ship design, technological equipment and management practices since my early days and as a result the job has always remained fascinating and challenging

**I: How, then, would you define ship management?**

**JR:** Well, that's a good question. I suppose the first thing to say is that ship management is really an umbrella term, covering various different types of management services and these are, in turn, related to all aspects of daily vessel operations. The term describes an international business of many characteristics including low margins, relatively low barriers of entry for ship management companies, heavy paperwork, intense competition, high risks and a need to provide a round the clock service. The ship manager must be able to tailor the service to the differing needs of the ship owner, whilst maintaining efficiency and cost effectiveness in service delivery. In other words ship management is the professional supply of a single or a range of services by a management company separate from the vessel's ownership.

**I: Does that mean that the ship manager and ship owner are separate entities?**

**JR:** Yes, indeed. The point I'm making is that the management company is separate from the ship owner. This means, in effect, that the supplier of the services, in other words the management company, is considered independent from the user working with his own staff and sometimes from a separate company. The term separate means, in the strictest sense, that there is no common shareholding interest between the ship owner and the manager. We could talk about this particular point later perhaps.

**I: Can you give some specific examples which typify the relationship between the owner and the manager?**

**JR:** Certainly, although it's not as simple as definitions might suggest. The relationship depends very much on the resources and needs of the owner in relation to the services provided by the manager. Just to give a couple of examples then.

One example that we have is a situation in which the ship owner elects to retain control over a number of critical functions in the management of his ships - such as the selection of senior officers, safety auditing and the negotiation and management of dry docking - but will outsource the remaining day-to-day management activities to the ship manager.

In another example the ship owner himself may retain a technical department to run a core fleet of, let's say, bulk carriers, but should he then acquire a fleet of specialist vessels he would need to use a ship manager to provide the skills required for that specialist fleet - I'm talking about maintenance skills as well as the sourcing of sea staff with skills and experience relevant to the fleet in question. These are just two examples though. To sum it up, it's actually the contract between the manager and the owner which defines the exact relationship.

**I: Moving on then, can you tell us more about the contract itself?**

**JR:** Contracts vary, of course, and are again dependent on the needs and resources of the contracting parties involved.

As I mentioned earlier, the manager provides a single or a range of services. The ship owner elects to use a comprehensive range or possibly just one service from those offered by the manager. The contract, then, governs the professional supply or

in other words sets out the terms by which the supplier - that's our ship manager - provides services to the user in return for a management fee. The ship manager is bound to a contractual set of terms and conditions. We see this in several ways; the ship manager must ensure that the vessel always complies with international rules and regulations, that it is run in a safe and cost efficient manner without threat to the environment and that it is maintained so as to preserve as far as possible its asset value.

**I: We began this interview by talking about a range of services which might be supplied by the ship manager? What exactly are those services?**

**JR:** Essentially the services in question comprise three main groups, namely technical management, crew management and commercial management. There is also a fourth group that can be termed ancillary services, but I won't go into that in detail at the moment.

The main objective of technical management is safe, pollution free and cost efficient vessel operation in accordance with international rules and regulations and also, to some extent, the protection of asset value. Perhaps one of the most obvious examples of technical management is regular vessel inspections.

Crew management is the provision of well-trained and suitably experienced crew of the nationality required by the ship owner to ensure safe and efficient operation according, again, to international regulations.

Commercial management involves the provision of miscellaneous ship broking services relating to the employment of a vessel, but I can come back to that point later.

**I: Let's look at risk for a moment. Is ship management a risky business? Which party, manager or owner, runs the greater risk in your opinion?**

**JR:** As I said right at the start, ship management entails high risks. As to which party runs the greater risk, well, that's debatable. Let's take the ship owner first, since it's often said that he is the prime risk taker. His primary objective and success is dependent upon his ability to find profitable employment for the ship and/or to realise a profit from the vessel's resale for demolition or further trading. By contrast the ship manager's aim is to provide a service or services to assist the ship owner in return for

a fixed management fee. It would be unfair though to say that the ship manager runs no risk. He might find himself in a situation whereby the owner has run into financial difficulties and is unable to pay, or whereby there is a risk to his reputation due to problems caused by insufficient funding. What I mean by this is that the risk is not borne entirely by one party.

**I: Well, it sounds like a fascinating field to work in. Jack Roberts, thank you for agreeing to speak to us.**

## Antwerpia Shipping

For a company such as Antwerpia Shipping n.v. it is vital to be able to anticipate trends on the shipping markets. Antwerpia Shipping n.v. was established in 1965 and offers services related to the chartering of motor vessels, otherwise known as ship chartering. It serves as an efficient link for commerce from or through Antwerp to various worldwide destinations. Antwerpia Shipping acts as ship agents, brokers, ship charterers and bunkering agents operating from a centrally located office in the city of Antwerp, Belgium. Antwerpia Shipping specialises in tramp traffic, namely vessels which do not operate under regular schedules, and can arrange movements of cargoes within the Mediterranean, U.K. and the North continent to various destinations. It arranges charters for a wide range of vessels including refrigerated cargo vessels (reefers), VLCCs, RoRos, dry bulk carriers and general cargo ships. Antwerpia Shipping offers a monthly conventional and container service from Antwerp to Helsinki and, in addition, operates a twice monthly conventional service from Tallin and Helsinki to Antwerp. Transshipment is catered for by companies in the stevedore business.

## Chartering a ship - definitions

A Shipper is an individual or company with cargo to transport. A charterer is the individual or company who hires a ship. A charter-party is the contract setting out the terms under which the shipper contracts for the transportation of his cargo or the charterer contracts for the hire of a ship. On a voyage charter, a ship earns freight per ton of cargo transported on terms set out in the charter-party which specifies the precise nature and volume of the cargo, the part(s) of loading and discharge and the laytime and demurrage. All costs are paid by the shipowner. A consecutive voyage charter is where the vessel is hired to perform a series of consecutive voyages between A and B. A contract of Affreightment (COA) is signed when a shipowner undertakes to carry quantities of a specific cargo on a particular route or routes over a given period of time using ships of his choice with specific restrictions. The term 'Period charter' is used when the vessel is hired for a specified period of time for payment of a daily, monthly or annual fee. There are three types of period charter, time charter, trip charter and consecutive voyage charter. A time charter is where a ship earns hire monthly or semi-monthly. The shipowner retains possession and mans and operates the ship under instructions from the charterer who pays the voyage costs. A trip charter is fixed on a time charter basis for the period of a specific voyage and for the carriage of a specific cargo. The shipowner earns 'hire' per day for the period determined by the voyage. With a bare boat charter the owner of the ship contracts (for a fee, usually long-term) to another party for its operation. The ship is then operated by the second party as if he owned it.

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## Chartering a ship - A telephone conversation

**BJ:** Antwerpia Shipping. Bert Janssens speaking.

**JM:** Good afternoon. Your receptionist told me that you were the best person to talk to. I'm calling from Australia. My name is Jack McCarthy of Queensland Maritime Services. Your company was recommended to me by a business associate.

**BJ:** Well, let's hope we can live up to the recommendation, Mr McCarthy. What can I do for you?

**JM:** I'm looking for a vessel to transport cargo.

**BJ:** You've come to the right place. We can arrange for the shipment of bulk, liner, reefer or project cargo, you name it. What type of cargo did you have in mind?

**JM:** Grain. 50,000 tonnes to be precise.

**BJ:** That won't be a problem, but I'll need to take more details from you of course. Can you let me have the present location of the grain, and the port of destination?

**JM:** Well, I'm looking to ship the grain from the Port of Gladstone to Tallin in Estonia.

**BJ:** OK, Gladstone - that's in Queensland, isn't it? Yes, I'm familiar with Gladstone, although we normally ship coal from that region.

**JM:** That would be right. Gladstone's the fourth largest coal export port in the world. This time it's grain though, and my timing's pretty tight. I have a contract to get the grain to Tallin within the month.

**BJ:** OK, I'm just having a look at my screen here. Yes, I thought so. We have a Panamax dry bulk carrier presently sailing from the Gulf to deliver grain in Japan. It's due to arrive in Japan in three days time. That means that it will be 'open' in four days time and then due to return to Antwerp. It will be looking for a cargo such as yours to reposition into the North Atlantic area; I'll just have to check if it ties in with our service from Antwerp to Helsinki and on to Tallin. It should do though. That would suit your requirements, wouldn't it?

**JM:** Yes, indeed. Sounds just like what we need. Can you just run over the ship's characteristics to check that it fulfils our requirements? I'm thinking about its speed, cargo capacity, dimensions, handling gear and so on.

**BJ:** Certainly. As I said, it's a Panamax bulk carrier, 69,100 dwt., built in Japan in 1994. I'm sure you're familiar with the vessel type, but basically it has a framework for the carriage of dry solids in bulk without packaging. Grain, for example. It has a capacity of 70,000 metric tonnes and sails at an average speed of 14 knots; that's an economical speed I'm talking about. You can visit our website for further information about the ship's characteristics.

**JM:** OK, but can I just run over a couple of points with you? I'm sure I don't have to tell you that grain is a free running cargo. It's prone to shift in heavy weather and if the ship's not up to it this could threaten the safety of the ship herself. Heavy cargoes like these have to be loaded and discharged in a certain sequence, otherwise we're talking about serious stress to the structure of the ship. When loading grain, care has to be taken with the sequence of filling the hatches and the cargo distribution, so that no undue stress is put on the vessel while loading or later when moving in a seaway. Large waves can be a deadly hazard, you know.

**BJ:** Don't worry Mr McCarthy. Our chartering staff is experienced in many types of cargo vessels. We're in the business of providing quality service to our customers. You can be sure that our contractual arrangements will meet your needs. What type of contract were you considering, by the way? I'm assuming it won't be a bare boat charter, will it? A voyage charter would best suit your needs, I think. And if things go well, and you're in the business of shipping grain on a regular basis, we could always move on to a time charter in the future, perhaps.

**JM:** Well, indeed, that might be something for the future, but it's a voyage charter I'm interested in at the moment.

**BJ:** OK, we can put that together for you. Why don't I work on some details for you now, and send you a proposal. I'll include voyage estimations and calculations for you. With the voyage charter we'll be looking at price per ton here - it was 50,000 tonnes of grain, wasn't it?

**JM:** That's correct.

**BJ:** And the ship has to arrive in Tallin in May, doesn't it?

**JM:** Yes. The grain has to be there by 28<sup>th</sup> May at the latest. That should be possible with the Panamax though, shouldn't it?



**BJ:** Absolutely. I'll get this proposal off to you as soon as possible, Mr McCarthy, and don't worry - all the contract details can be negotiated to ensure that the vessel is capable of handling the cargo in a damage-free manner. Can I just take your e-mail details?

**JM:** Certainly. It's [jmccarthy@qms.com](mailto:jmccarthy@qms.com)

**BJ:** McCarthy - that's two 'c's, isn't it?

**JM:** That's right. Capital 'm', small 'c', capital 'c'. Thanks for your help Mr Janssens. I look forward to hearing from you.

**BJ:** You're welcome. If there's anything else you need, just call me. Goodbye now.

**JM:** Thanks and goodbye.

## The Shipping Markets

There are four shipping markets; the newbuilding market, the freight market, the sale and purchase market, and the demolition market. Each of these markets trades in different commodities.

The newbuilding market trades new ships; this is where ships are ordered.

The freight market trades sea transport and cargo; this is where ships are chartered.

The sale and purchase market trades existing or second-hand ships. Ships are bought and sold on this market.

The demolition market deals in scrap ships; this is where old or obsolete vessels are sold to scrap dealers.

It is the cash-flow between the four markets that drives the shipping market cycle. At the beginning of the cycle freight rates rise and cash starts to flow in, prompting shipowners to pay higher prices for second-hand ships. As prices rise investors focus on the newbuilding market which now looks attractive. The confidence surge brought about by buoyant prices leads to more orders for new ships. When these ships arrive on the market a couple of years later, however, the whole process starts to go into reverse. Freight rates begin to fall reducing the cash inflow just at the time when investors are paying for their newbuildings. Financially weak owners are then forced to sell off ships on the second-hand market. Eventually ships are traded at bargain prices, before the cycle picks up again and prices start once more to accelerate.

## SHIPPING AND THE ENVIRONMENT (1)

Shipping managers within the European Union are continually looking for innovative ways of reducing costs and, more importantly, of doing less damage to the environment. Encouraging short-sea shipping is one way of doing this. Establishing links between sea and inland waterways is another method.

Short-distance shipping is not a new idea. Thousands of wrecked vessels around the Mediterranean, some of which date back to Roman times, bear evidence to this. Short-sea shipping now carries 41% of goods traffic within the Community and is the only mode of goods transport with recent growth rates. It is a means of transport which should, ideally, be promoted as a means of relieving congestion within the Community. Today there are efficient services between southern Sweden and Hamburg, between the ports of Antwerp and Rotterdam, and between south-east England and the port of Duisburg. However the current volume falls short of its potential capacity. For example, 75% of the timber exported by Finland to Italy crosses Germany and the Alps although it could go by sea. Shipping managers should therefore promote short-sea shipping as a real competitive alternative to land transport and certain shipping links, particularly those offering a way around the bottlenecks in the Alps and Pyrenees should be made a part of the trans-European network, just like motorways or railways.

The European Union has an important natural asset: a dense network of rivers and canals linking up the basins of the rivers, such as the Seine, Rhine, Meuse, Schelt, Elbe and Oder, which flow into the North Sea, the Atlantic and the Baltic. Recently the Rhine-Main-Danube Canal has provided a link to the Danube basin, bringing the total number of member states that can use this inland waterway network to twelve. Inland waterway transport is quiet and energy-efficient, and takes up little space. In addition it is an ideal form of transport for dangerous goods, such as chemicals, and also for the carriage of low-cost commodities over long distances. For example a vessel can travel from Duisburg to Rotterdam, a distance of 225 kilometres, in half a day regardless of conditions which affect other modes. Inland waterway transport is thus a very competitive alternative to road and rail transport and, following the enlargement of the EU, could do much to relieve traffic on east-west routes.



Education and Culture

**Leonardo da Vinci**

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## SHIPPING AND THE ENVIRONMENT (2)

Shipping is friendlier to the environment than other methods of transport, the reason being that a large volume of cargo can be transported in an energy-efficient manner, leading to fewer emissions per amount of cargo transported. It would be unfair not to mention, however, that shipping is also occasionally guilty of causing environmental problems. These occasional problems include the following:-

### **Air emissions:**

- Exhaust gas emissions of vessels discharging sulphur and nitrogen oxides into the air along with carbon dioxide, carbon monoxide, particles and hydrocarbons.
- Cooling agents, extinguishers and volatile organic compounds discharged into the air during the loading and unloading of tankers.

### **Water emissions:**

- Oil and chemical emissions discharged into the sea, accidentally or intentionally.
- Escape of solid and liquid ship waste into the water.

### **Other environmental problems:**

- Spread of organisms to new areas, threatening the balance of the original biotype. These organisms are transported in ballast water or when they attach themselves to the bottoms of vessels.
- Increased surge formation may increase erosion to sensitive littorals.
- Growth in noise pollution.
- Safety risks caused by increasing vessel speeds.

## Sub-standard ships

A recent incident has highlighted problems with sub-standard ships. It has been revealed that a boxship which sank off the coast of Yemen following a huge fire had recently failed a port state control inspection. At the time of the incident the vessel was reportedly travelling from Korea to Rotterdam.

The fire on the vessel blazed in the aft accommodation and cargo area for at least six hours and plumes of black smoke were sent billowing into the sky 130 nautical miles off Aden. Explosions were still being heard from the ship the following day.

A Dutch navy frigate sent speedboats to take 27 crew from the vessel, and a helicopter removed one injured crewman. His condition on board the navy ship was reported to be stable. A ten mile exclusion zone was established around the boxship, which lost a number of containers overboard. A UK navy vessel was also in attendance and tugs were summoned to the scene shortly after the vessel had caught fire.

It was reported that the blaze had been caused by a technical fault. As recently as 2001 the boxship had been detained following a port state control inspection (PSC). The incident is now under investigation.

The incident highlights recent concerns over sub-standards ships and serves as a reminder that ship owners and operators need to be familiar with requirements on safety and pollution protection in order to prepare themselves for PSC which is becoming increasingly widespread at international level. A spokesman for the International Association of Classification Societies (IACS) said that it is in the interest of owners and managers to be fully prepared for these inspections. He added that IACS checklists identifying the top 50 most common causes of ship detention are now available

The boxship in question was insured by Britannia Steamship for cargo losses and classed by DNV. Hull cover is likely to be with Hyundai Marine & Fire Insurance, but a great part of the risk will be reinsured out to London and other international markets. The container cargo of a ship of this size would typically be worth \$150m, indicating that the loss could outstrip damage to the hull.

## Interpreting the shipping markets

At the beginning of the year freight rates generally were at an all-time high. Younger members of the industry were told by older, wiser colleagues how lucky they were to experience such high levels, usually seen only once in a lifetime. In the Spring, however, the market plummeted displaying all the hallmarks of a classic shipping “spike”. By mid-year rates had experienced the biggest ever fall in the shipping market with average Capesize rates collapsing by almost \$60,000 on a daily basis from the January peaks.

No-one had reckoned with China, however, which single-handedly reversed the market and launched it on a further upward trajectory. Imports of iron ore into China surged in a period of one month, rising 5 Mt between June and July, from 13 Mt to 18 Mt. This was the biggest ever increase in demand by one country in a single month, and proved just the tonic that was needed for Capesize owners who had feared the boom was short-lived. The sharp upturn had an immediate effect on smaller sizes with both Panamax and Handymax rates responding positively and immediately moving upwards. The rise continued steeply until the beginning of December setting another record peak second only to February’s first.

Few owners can be dissatisfied with this year’s average rates. Everything considered it was a good twelve months for the record books, with another promising year just round the corner.